NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-I), CHANDIGARH

CP (CAA) No.50/Chd/Pb/202
(2nd Motion)
Connected with
CA (CAA) No.53/Chd/PB/2021
(1st Motion)

Under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangement and Amalgamation Rules), 2016

IN THE MATTER OF SCHEME OF AMALGAMATION AMONGST:

Beverly Bakers Limited
CIN: U15122PB2015PLC052902
PAN: AAGCB2479M
having its registered office at
114/2, Dhandari Khurd, GT Road,
Hadbast No. 242, Sub-Tehsil Sahnewal,
Ludhiana 141014, PB
Through Sh. Santosh Kumar Gupta its Authorised Signatory

….Petitioner No.1/ Transferor Company No.1

AND

Beverly Food & Beverages Limited
CIN: U15400PB2014PLC052957
PAN: AAFCB9371H
having its registered office at
114/2, Dhandari Khurd, GT Road,
Hadbast No. 242, Sub-Tehsil Sahnewal,
Ludhiana 141014, PB
Through Sh. Santosh Kumar Gupta, its Authorised Signatory

….Petitioner No.2/ Transferor Company No.2

AND

Vista Knitberry Fashions Limited
CIN: U18101PB2008PLC050187
PAN: AADCV1100E
having its registered office at
C/o Rythm Textile & Apparels Park Limited,
Village Sekhon Majra, Rahon Machhiwara Road,

Nawan Shehar 144517 PB
Through Sh. Vivek Nayyar, its Authorised Signatory
….Petitioner No.3/ Transferee Company

Order delivered on: 06.11.2024

Coram: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present through Video Conferencing:

For the Petitioner: Mr. Anand Chhibbar, Senior Advocate
Mr. Vaibhav Sahni, Advocate
Ms. Swati Vashisth, PCA.
For the RoC, Chandigarh: Ms. Deepmala
For the OL: Mr. Edward Augustine George, Advocate.
For the Income Tax Department: None (Right to file the reply is forfeited)

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Umesh Kumar Shukla, Member (Technical)

ORDER

This is a Joint Second Motion Company Petition (hereinafter referred to as the "Petition") filed under Sections 230 to 232 of Companies Act, 2013 (hereinafter referred to as the "Act") and other applicable provisions of the Act read with Rule 15 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules") by the Beverly Bakers Limited (hereinafter referred to as the "Petitioner No.1" or "Transferor Company No.1"), Beverly Food & Beverages Limited (hereinafter referred to as the "Petitioner No.2" or "Transferor Company No.2") and Vista Knitberry Fashions Limited (hereinafter referred to as the "Petitioner No.3" or "Transferee Company") (hereinafter collectively referred to as the "Petitioner Companies") to obtain sanction of this Tribunal to the Scheme of Amalgamation between the Petitioner Companies (hereinafter referred to as the

"Scheme"). The copy of the Scheme has been annexed as Annexure: A-1 of the Petition.

2. The Petitioner Companies are within the jurisdiction of this Tribunal, as the registered offices of all the Petitioner Companies are situated within the State of Punjab.

3. The Board of Directors of the Petitioner No.1 in their meeting held on 24.05.2022 and Petitioner No.2 & 3 in their respective meetings held on 30.10.2021 considered and approved the Scheme. The Copy of the Board resolution of Petitioner No.1, 2 and 3 have been annexed with the Petition as Annexure: A-2, Annexure: A-7 and Annexure: A-12 respectively.

4. The First Motion Company Application No. CA(CAA)53/Chd/PB/2021 (hereinafter referred to as the "Application") seeking directions for dispensing with the requirement for convening the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Companies was filed by the Petitioner Companies and This Tribunal, vide its Order dated 10.05.2022 had issued the following directions in the Application.

(i) The meetings of Equity Shareholders of Petitioner No.1, 2 and 3 were dispensed with keeping in view the shareholding pattern, financial structure of the company and the fact that the consent by way of affidavits has been received.

(ii) The meetings of Creditors of the Petitioner No.1 and 2 were dispensed with, as they had only 5 and 3 Unsecured Creditors (Trade Payables) respectively and their consents have been received by way of affidavits;

(iii) The meeting of Secured Creditors of the Petitioner No.3 was dispensed with, as it has 1 Secured Creditor, whose consent has been received by way of affidavit.

(iv) The meeting of the Unsecured Creditors of the Petitioner No. 3 was ordered to be convened on 02.07.2022, the quorum for the meeting was fixed and Chairperson, Alternate Chairperson and Scrutiniser were appointed for conducting the meeting. The Petitioner No.3 was also directed to publish the notice of the meeting in "Financial Express" (English) in Chandigarh edition and "Punjabi Jagran" (Punjabi) in Punjab edition and to send the notices to the statutory authorities.

5. In compliance with the above directions, the Chairperson filed his report vide Diary No. 01402/4 dated 05/07/2022 in the Application, a copy of which has also been annexed with the Petition as Annexure: A-23. As per the Chairperson report, 17 Unsecured Creditors holding the debt amounting to Rs.7,18,19,302/- or 100% of the total number of valid votes casted, had voted in favour of the resolution approving the Scheme, which meets the threshold for approval as provided under section 230(6) read with section 232 of the Companies Act, 2013. The Scrutiniser report attached at Annexure-A of the Chairman Report also stated that Petitioner No.3 has issued individual notices to all of its Unsecured Creditors and to the statutory authorities and also published the notice of the meeting in the "Financial Express" (English, Chandigarh Edition) and "Punjabi Jagran" (Punjabi, Punjab Edition) on 28.05.2022.

6. In the Second Motion Petition proceedings, the following directions were issued by this Tribunal vide Order dated 28.07.2022:

(i) The Petitioner Companies will advertise the notice of hearing in “Financial Express” (English) in Chandigarh Edition and “Punjabi Jagran” (Punjabi), in Punjab Edition.

(ii) The Petitioner Companies shall serve the notice of the Petition on the (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (hereinafter referred to as the “RD”); (b) concerned Registrar of Companies (hereinafter referred to as the “RoC”, (c) concerned Official Liquidator (hereinafter referred to as the “OL”); and (d) Jurisdictional Income Tax Department (hereinafter referred to as the “ITD”).

(iii) The Petitioner Companies shall file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) The Petitioner Companies shall file an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspapers.

(v) The Registry shall also report before the date fixed as to whether any objection has been received to the proposed ‘Scheme’.

7. In compliance of the above Order, the Transferee Company has filed the Compliance affidavit vide diary No. 01562/1 dated 10.10.2022 enclosing therewith the (i) newspaper cuttings at Annexure: B evidencing the publication of notice of hearing in "Financial Express" (English) Chandigarh Edition and "Punjabi Jagran" (Punjabi) Punjab Edition on 23.09.2022; and (ii) the copy of the postal receipts & tracking reports at Annexure: C evidencing dispatch and delivery of the notices of petition upon

the statutory authorities. It has also been deposed in the affidavit that no objections have been received from any person/ department to the Scheme.

8. In response to the notices, the statutory authorities have furnished their replies, which are discussed as under:

8.1 **Regional Director/ Registrar of Companies:**

(i) The RD has filed its report along with the report of the RoC by diary No.01562/3 dated 23.01.2023. No specific objections have been raised in RD/ RoC, and following observations have been made:

9. That as per the report of Registrar of Companies, the Transferor Companies have filed the Balance Sheet and Annual Return up to 31.03.2022 and the Transferee Company has filed the Balance Sheet and Annual Return up to 31.03.2021. No prosecution has been filed & no inspection or investigation has been conducted in respect of the Petitioner Company.

10. That observations of the O/o ROC Chandigarh vide letter dated 12.10.2022 are as under: -

I. The main objects of the Transferor Companies and Transferee Company are not similar.

II. All the applicant Companies are not NBFC under the provision of RBI Act.

III. Prima Facie there is no violation under section 383A/203 of the Companies Act, 1956/2013, as per record available with this office. Further, there is no violation under section 295, 297, 299 & 301 of Companies Act, 1956 (Section 184, 185, 188 and 189 of Companies Act, 2013), However in the financial statement for the Financial Year 2021-2022, in Note 18 of Beverly Bakers Ltd, the cost of material consumed figure in incorrect and is shown as Zero. Hence, there is violation of section 129 of the Companies Act, 2013.

11. That Transferee Company vide its letter dated 05.12.2022 (**Annexure -- B**) has replied to the query of the Registrar of Companies as under : -

11.1 ***For observation under Para 1, this is submitted for your consideration that:***

- *As per section 232(3)(1) of the Companies Act, 2013, where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital subsequent to the amalgamation.*

- *Consequent to the amalgamation of the Transferor Company with the Transferee Company, the Authorised Share Capital of the Transferor Company shall stand merged into and combined with the Authorised Share Capital of the Transferee Company without any further act of deed, and without payment of any registration or filing fee on such combined Authorised Share Capital.*

- *Please refer clause 19(d) and 19(e) of scheme of amalgamation, in which we have already mentioned that upon the coming into effect of the Scheme, the authorized share capital of the Amalgamated Company shall automatically stand increased and the capital clause of the Memorandum of Association of the Amalgamated Company shall, without any further act, instrument or deed be and stand altered, modified and replaced by the following clause:*

"The Authorized Share Capital of the Company is INR 7,06,00,000/- (Indian Rupees Seven Crore Six Lakh Only) divided into 70,60,000 (Seventy Lakh Sixty Thousand) Equity Shares of INR 10/- (Indian Rupees Ten Only) each."

- The following tabular statement is presenting the post amalgamation capital structure of the Petitioner Companies:

Particulars	*Transferor Company. 1 Beverly Bakers Limited (Petitioner Company No.1)*	*Transferor Company No. 2 Beverly Food & Beverages Limited (Petitioner Company No. 2)*	*Transferee Company Vista Knitberry Fashions Limited (Petitioner Company No.3)*
Pre-Merger Authorised Capital	*10,00,000 (1,00,000 Equity Shares of Rs. 10/- each)*	*6,00,00,000 (60,00,000 Equity Shares of Rs. 10/- each)*	*96,00,000 (9,60,000 Equity Shares of Rs. 10/- each)*
Post-Merger Authorised Capital	*NA*	*NA*	*7,06,00,000 (10,00,000 + 6,00,00,000 + 96,00,000) (70,60,000 Equity Shares of Rs. 10/- each)*

11.2 ***For observation under Para 2, this is submitted for your kind consideration that:***

- In Note No. 18 "Cost of Material Consumed", Stock at the end of the period is actually 3,014 (INR in Hundred) which is showing as 3,01,359 due to omission of conversion of figure of closing stock into Hundreds. The same can be cross verified with Note No.11 "Inventories" in which closing stock is appearing as 3,014 (INR in Hundred). Once the figure of closing stock in Note No 18 will be converted into Hundred, the cost of material consumed will be zero.

- As per new changes introduced in Schedule II of the Companies Act, 2022, every company has to present the items in financial statement in rounded off figures. Accordingly we have prepared the financials and rounded off the items in Hundreds. However due to presentation of Stock at the end of period in Indian Rupees, It was depicting that the Cost of material consumed is not Zero. But if we sum up all the items in Hundreds, cost of material consumed will arrive at Zero. Moreover resulting amount of cost of material consumed is accurately shown in Profit and loss Statement.

-Mere appearing of item in absolute figures in Financials did not amount to violation of section 129 of the Companies Act, 2013, in spite of the fact that it did not impact the true and fair view of affairs of the Company.

-Neither we have committed misrepresentation of fact nor concealed true position of financials of the company owing to way of presentation in financials. Hence there is no violation of section 129 of the Companies Act, 2013

12. This report has been prepared based on documents filed by companies as well documents available in the MCA Registry. The matter may be decided on

The submissions in para 1 to 12 above after having examined the Scheme, reply of the Petitioner Companies and report of Registrar of Companies for kind consideration of the Hon'ble Tribunal to satisfy with regard to the scheme and such orders as may be deemed fit and proper in the facts and circumstances of the case

(ii) In the hearing dated 12.01.2024, it has been recorded that the report of RD/ RoC is available on record, in which it is stated that the RoC/ RD has no objection to the Scheme.

(iii) In the hearing dated 31.05.2024, the Company Prosecutor representing RD/ ROC requested time on the ground that the response to the RD's report submitted by Petitioner Companies is not available with the Office

of RD. Therefore, Ld. Counsel appearing on behalf of the Petitioner Companies was directed to file the said affidavit on the file with a copy in advance to the RD. In the hearing dated 05.07.2024, the ld. counsel for the Petitioner Companies was again granted one last opportunity, out of sheer indulgence, to do the needful within one week failing which the petition will be dismissed for non-compliance.

(iv) The Compliance affidavit was filed by learned counsel for the Petitioner Companies for sending the copy of response to RD report vide Diary No.01562/4 dated 05.07.2024.

(v) In the hearing dated 06.09.2024, it was stated by the Company Prosecutor for RoC/ RD that they have gone through the response of the Petitioner Companies and found it satisfactory, they have no further observation, which was recorded in this Tribunal order dated 06.09.2024.

8.2 Official Liquidator**:**

(i) The OL has filed its report vide diary No.01562/2 dated 06.12.2022, in which no specific objections have been raised.

(ii) In the hearing dated 31.05.2024, it was stated by ld. counsel appearing on behalf of the OL that they have no objections/ observations to the Scheme, which was recorded in this Tribunal order dated 31.05.2024.

8.3 **Income Tax Department:**

(i) In the hearings dated 01.05.2022 and 05.07.2023, Learned counsel for ITD requested for time to file the report. However, in the hearing dated 12.01.2024, there was no representation on behalf of the ITD, only by sheer indulgence; ITD was granted one last opportunity to file its report.

(ii) In the next hearing dated 12.03.2024, Senior Standing Counsel for the ITD again sought time and two weeks was granted to file the report. However, in the hearing dated 31.05.2024, there was neither representation on behalf of the ITD and nor report/objection was filed by them and this Tribunal vide order dated 31.05.2024 directed as below:

> "*..... It seems that the Income Tax Department is not interested to file any reply/objection and therefore, it is presumed that they have nothing to say in the matter. Therefore, their right to file reply is forfeited."*

9. This Tribunal, vide order dated 06.09.2024, directed the counsel of the Petitioner Companies to submit an affidavit with regard to Food Safety and Standard Authority of India being the regulator in the present case correlating the business of the Petitioner Companies with relevant provisions of the Food Safety and Standard Act, 2006 and Food Safety and Standard Rules 2011.

10. In furtherance of the above directions, the Petitioner Companies, vide Diary No.01562/5 dated 19.09.2024 filed a compliance affidavit stating that the Petitioner No.1 and 2 were engaged in the business of food related products and obtained the valid licences from FSSAI, but these licences were valid upto September, 2020 thereafter, these was not renewed and now the said business has been closed, and Petitioner Nos.1 and 2 have closed their operation before 2020 and do not have any licence from FSSAI.

11. The certificate of the Statutory Auditors with respect to the Scheme between Transferor Companies and Transferee Company to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Indian Accounting Standards prescribed under Section 133 of the Companies Act, 2013 has been attached as Annexure A-18 of the Second Motion Petition.

ANALYSIS AND FINDINGS

12. We have heard the learned Counsel for Petitioner Companies, Counsel for Official Liquidator, RoC and perused the record submitted by the Petitioner Companies as well as the statutory authorities.

13. The Appointed Date as per the Scheme is 01.04.2021, Therefore we have analysed the financial position as per the audited financial statements for the year ended 31.03.2021 of Transferor Company No. 1 & 2 and Transferee Company submitted by the Petitioner Companies at Annexure A-4, A-9 and A-14 respectively of the Petition.

(i) The Audited Balance Sheet of Transferor Company No. 1 for the year ended 31.03.2021 is shown below:

BEVERLY BAKERS LIMITED
Balance Sheet as at 31st March, 2021

	Particulars	Note No.	As on 31st March, 2021	As at 31st March, 2020
			Rs.	Rs.
A	EQUITY AND LIABILITIES			
1	Shareholders' funds			
	(a) Share capital	3	500,000	500,000
	(b) Reserves and surplus	4	(87,755,544)	(87,086,449)
2	Non-current liabilities			
	(a) Long-term borrowings		-	-
	(b) Long -term provisions		-	-
	(c) Other Non Current liabilities	5	368,217	368,217
3	Current liabilities			
	(a) Trade Payables	6		
	1. Total outstanding dues of micro enterprises and small enterprises		-	-
	2. Total outstanding dues of creditors other than micro enterprises and small enterprises		1,783,214	1,783,558
	(b) Other current liabilities	7	197,414,268	199,164,002
	(c) Short-term provisions	8	-	119,144
	TOTAL		112,310,155	114,848,473
B	ASSETS			
1	Non-current assets			
	(a) Property, Plant & Equipments	9		
	i) Tangible assets		44,870,817	44,878,699
	ii) Intangible assets		-	15,331
	(b) Deferred Tax Asset		41,157,119	41,982,130
	(c) Long Term Loan & Advances	10	300,000	300,000
	(d) Non-current Investments	11	7,517,610	14,650,768
2	Current assets			
	(a) Inventories	12	392,439	1,000,804
	(b) Trade receivables	13	1,653,937	943,689
	(c) Cash and cash equivalents	14	12,562,380	7,110,678
	(d) Short-term loans and advances	15	3,387,554	3,762,284
	(e) Other Current asset	16	468,300	204,090
	TOTAL		112,310,155	114,848,473

It may be seen from the balance sheet that it is a sick company incurring losses, having accumulated losses of Rs.8.78 crore, negative net worth of Rs.(-)8.72 crore and its assets are not sufficient to meet its liabilities.

(ii) The Audited Balance Sheet of Transferor Company No. 2 for the year ended 31.03.2021 is shown below:

Beverly Food & Beverages Limited
Balance Sheet as at March 31, 2021

Particulars	Note No.	As at March 31, 2021 Rs.	As at March 31, 2020 Rs.
A EQUITY AND LIABILITIES			
1 Shareholders' funds			
(a) Share capital	3	351,00,000	351,00,000
(b) Reserves and surplus	4	(1118,55,664)	(1076,22,423)
2 Non-current liabilities			
(a) Long-term borrowings		-	-
(b) Long term provision		-	-
(c) Other non current liabilities	5	54,53,826	54,53,882
3 Current liabilities			
(a) Trade payables	6		
1. Total outstanding dues of micro enterprises and small enterprises		-	-
2. Total outstanding dues of creditors other than micro enterprises and small enterprises		2,18,065	1,03,531
(b) Other current liabilities	7	1325,48,667	1327,57,233
(c) Short-term provisions		-	-
TOTAL		614,64,893	657,92,222
B ASSETS			
1 Non-current assets			
(a) Fixed assets			
(i) Property, Plant & Equipment	8	12,95,030	30,23,356
(ii) Intangible assets		90,81,508	122,53,523
(iii) Capital work in progress		-	-
(b) Deferred tax assets (net)		434,39,125	423,34,828
(c) Long term loans and advances	9	75,000	75,000
(d) Other non-current assets	10	1,42,872	1,33,268
2 Current assets			
(a) Inventories	11	2,57,462	3,60,849
(b) Trade Receivables	12	5,42,293	5,69,696
(c) Cash and bank balances	13	17,21,004	14,57,937
(d) Short-term loans and advances	14	31,500	1,12,275
(e) Other current assets	15	48,79,099	54,71,489
TOTAL		614,64,893	657,92,222

It may be seen from the balance sheet that it is a sick company incurring losses, having accumulated losses of Rs.11.18 crore, negative net worth of Rs.(-) 7.67 crores and its assets are not sufficient to meet its liabilities.

(iii) As per the Audited Balance Sheet of Transferee Company for the year ended 31.03.2021, it is profit making with positive net worth as show in table below.

VISTA KNITBERRY FASHIONS LIMITED

BALANCE SHEET AS AT 31ST MARCH, 2021

PARTICULARS	NOTE NO.	AS AT 31.03.2021 In Rupees	AS AT 31.03.2020 In Rupees
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	3	6,00,000	6,00,000
(b) Reserves & Surplus	4	9,01,32,801	8,51,47,935
2. Share Application Money Pending Allotment		-	-
3. Non Current Liabilities			
(a) Long Term Borrowings	5	83,62,392	54,29,909
(b) Deferred Tax Liabilities (Net)	6	61,88,372	82,69,598
(c) Other Long Term Liabilities		-	-
(d) Long Term Provisions		-	-
4. Current Liabilities			
(a) Short Term Borrowings		-	-
(b) Trade Payables	7		
(1) total outstanding dues of micro enterprises and small enterprises;		-	-
(2) total outstanding dues of creditors other than micro enterprises and small enterprises		61,38,65,261	92,66,41,930
(c) Other Current Liabilities	8	6,34,75,555	5,04,04,864
(d) Short Term Provisions	9	36,00,000	46,00,000
TOTAL		78,62,24,382	1,08,10,94,236
II. ASSETS			
1. Non Current Assets			
(a) Property, Plant & Equipments	10		
(i) Tangible Assets		22,75,57,632	19,61,27,327
(ii) Intangible Assets		-	-
(iii) Capital Work in Progress	10	7,92,36,316	5,79,16,389
(iv) Intangible Assets Under Development		-	-
(b) Non Current Investments	11	7,12,41,483	1,44,68,400
(c) Deferred Tax Assets (Net)		-	-
(d) Long Term Loans & Advances	12	36,73,255	2,27,36,675
(e) Other Non-Current Assets		-	-
2. Current Assets			
(a) Current Investments		-	-
(b) Inventories	13	20,11,18,508	24,58,84,389
(c) Trade Receivables	14	5,40,44,376	9,66,77,182
(d) Cash & Cash Equivalents	15	4,80,85,735	30,93,33,531
(e) Short Term Loans & Advances	16	10,12,67,077	13,79,50,343
(f) Other Current Assets		-	-
TOTAL		78,62,24,382	1,08,10,94,236

The accompanying notes are an integral part of the financial statements.

(iv) On further analysis, it is noted that the amalgamation of the Transferor Company 1 and 2 into the Transferee Company would render it financially non-viable, its net worth would become negative and its assets would not be sufficient to meet its liabilities as shown in Table below:

	(Rs. Crore)			
	Transferor Company 1	**Transferor Company 2**	**Transferee Company before Merger**	**Transferee Company after Merger**
Total Assets	11.23	6.15	78.62	96.00
Total Liabilities	19.95	13.82	69.55	103.32
Net Assets	-8.72	-7.67	9.07	-7.32

(v) It is also noted that the above position does not change even in the provision financial statements for the year ended 30.09.2021 and 31.03.2022 submitted by the Petitioner Companies. According to which the net assets of the Transferor Company 1 as on 30.09.2021 and 31.03.2022 works out to Rs.(-) 8.67 crore and Rs.(-)8.81 crore respectively; net assets of the Transferor Company 2 as on 30.09.2021 and 31.03.2022 works out to Rs.(-) 7.82 crore and Rs.(-)8.01 crore respectively and net assets of the Transferee Company after merger as on 30.09.2021 and 31.03.2022 works out to Rs.(-) 6.58 crore and Rs.(-)6.02 crore respectively

(vi) Thus amalgamation of the Transferor Company 1 and 2 into the Transferee Company would render the Transferee Company financially non-viable, which would be against the public interest. Therefore, in the present circumstances, we are not inclined to approve the Scheme.

14. It is also noted that as per the details submitted in the petition, the business of the Transferor Companies and Transferee Company are entirely different.

(i) As per para 4.4. of the Petition, the Transferor Company No.1 is in the business of manufacturing and trading of bakery and related items and its Main objects as per clause III(a) of its Memorandum of Association are as under:

1. *To carry on the business to process, produce, mix, pack, preserve, freeze, extract, refine, manufacture, import, export, buy, sell, trade and deal in processed foods, health foods, protein foods, food products, agro foods, fast foods, packed foods, poultry products, sea foods, milk foods, health and diet drinks, extruded foods, frozen foods, dehydrated foods, precooked foods, canned foods, preserved foods, bakery products and confectionery items such as breads, biscuits, sweets, pastries, cookies, wafers, condoles, lemon drops, chocolate, toffees, tinned fruits, chewing gum, bubble gum, tea, coffee, vegetables, fruits, jams, jelly pickle, squashes, sausages, nutrient, health & diet: foods/drinks, confectionery items, sweets, cereals products and any other food products in and outside India.*

2. *To carry on in India or elsewhere the business to process, prepare, disinfect, fennentate, compound, mix, clean, wash concentrate, crush, grind segregate, pack, repack, add; remove, heat, grade, preserve, freeze, distillate, boil, sterilize, improve, extract, refine, buy, sell, resale, import, export, barter, transport, store, forward, distribute, dispose, develop, handle, consultant, collaborator, stockiest, laisoner, middleman, export house, job worker or otherwise to deal in all types, descriptions, uses and packs of consumer food items, their byproducts, ingredients, derivatives, residues, including foods and vegetables of all kinds whether natural, artificial or synthetic and to carry on the business of hotel, restaurant and snack bars.*

3. *To carry on business of processing, farming, manufacturing, distributorship, agency, broker, factors, stockiest, importer and otherwise deals in all kinds of organic and inorganic foods, food products and drinking products, mineral water, soft drinks, aerated mineral water, fruit drinks, artificial flavored drinks, condensed milk and drinking products of all kinds and any - other consumable provision of every description for human consumption.*

(ii) As per para 4.10. of the Petition, the Transferor Company No.2 is in the business of manufacturers and dealers in all types of food and beverages and its Main objects as per clause III(a) of its Memorandum of Association are as under:

1. *To carry on the business of process, produce, mix, pack, preserve, freeze, extract, refine, manufacture, import, export, buy, sell, trade and deal in processed foods, health foods, protein foods, food products, agro foods, fast foods, packed foods, poultry products ,sea foods, milk foods, health and diet drinks , extruded foods, frozen foods, dehydrated foods, precooked foods, canned foods, preserved foods, bakery Products and confectionery items such as breads, biscuits, sweets, pastries, cookies, wafers, condoles, lemon drops, chocolate, toffees, tinned fruits, chewing gum, bubble gum, tea, coffee, vegetables, fruits, jams, Jelly pickle, squashes, sausages, nutrient, health & diet foods/drinks, confectionery items, sweets, cereals products and any other food products in and outside India.*
2. *To carry on in India or elsewhere the business to process, prepare, disinfect, fennentate, compound, mix, clean, wash concentrate, crush, grind segregate, pack, repack, add, remove, heat, grade, preserve, freeze, distillate, boil, sterilize, improve, extract, refine, buy, sell, resale, import, export, barter, transport, store, forward, distribute, dispose, develop, handle, consultant, collaborator, stockists, laisoner, middleman, export house, job worker or otherwise to deal in all types, descriptions, uses, and packs of consumer food items , their by products, ingredients, derivatives, residues, including foods and vegetables of all kinds whether natural, artificial or synthetic and to carry on the business of hotel, restaurant and snack bars.*

3. *To carry on business of processing, farming, manufacturing, distributorship, agency, broker, factors, stockiest, importer and otherwise deals in all kinds of organic and inorganic foods, food products and drinking products, mineral water, soft drinks, aerated mineral water, fruit drinks, artificial favoured drinks, condensed milk and drinking products of all kinds and any other consumable provision of every description for human consumption."*

(iii) As per para 4.16. of the Petition, the Transferee Company is in the business of manufacturers and dealers of all kind of fabrics/apparels and textiles. Its Main objects as per clause III(a) of its Memorandum of Association are as under:

a. "To carry on the business as manufacturers, buyers, sellers, exporters, importers, distributors, processors, agents, stockiest, commission agents, dealers, representatives of foreign companies in India or abroad and consultants of all kinds of fabrics/apparels and textiles such as decorative, hand and machine made readymade garments, yarns, carpets, durrels, mats, rugs, namdas, blankets, shawls, tweeds, linens, flannels, beds spreads, quilt, tapesty and such other articles of silk, cotton, woollen and worsted materials and all sorts of apparels, dressing materials, mixed blended products, nylon, ployster, cotton, fibre, yarns, hosiery and mixed fabrics, natural silk fabrics and garments."

(iv) The different nature of business of Transferor Companies and Transferee Company also does not justify the amalgamation of Transferor Companies into the Transferee Company.

15. It is also noted from the valuation report of CA Rochak Batta Registered Valuer, IBBI Registration No.IBBI/RV/06/2019/12452 annexed at Annexure A-17 of the petition that for valuation of the shares of Transferor Company Nos.1 & 2, the valuer has used the discounted cash flow (hereinafter referred to as the **"DCF"**) method as shown below:

Beverly Bakers Limited

Cash Flow Projection & Valuation of Shares

Risk free rate	5%
Beta	0.50
Expected return from market	12%
Company specific premium	3%
Required return on equity as per CAPM Model	11.50%

Amount (in lakhs)

PARTICULARS	Year 1 FY22	Year 2 FY23	Year 3 FY24	Year 4 FY25	Year 5 FY26	Terminal Year
Net Income (after interest and tax)	7.05	8.20	9.89	11.76	13.86	14.30
Depreciation	1.75	1.49	1.27	1.08	0.91	0.91
Working capital investment	0.11	0.12	0.19	0.22	0.26	0.06
Fixed capital investment	0	0	70	35	25	5
Free cash flow to Equity	8.69	9.57	-59.04	-22.39	-10.48	10.16
Terminal Value						119.50
Discount factor @11.50%	0.95	0.85	0.76	0.68	0.61	0.55
Present value of annual cash flows	**8.22**	**8.12**	**-44.91**	**-15.27**	**-6.41**	**65.57**

Sum of present value of annual cash flows	-50.26
Add: Terminal value	65.57

Enterprise value (in Rs. Lakhs)	15.31
Illiquidity discount for closely held company	20%
Enterprise value (in Rs. Lakhs) after illiquidity discount	12.25
Number of equity shares	50,000
Fair value per share (Approx)	**24.50**

Beverly Food & Beverages Limited

Cash Flow Projection & Valuation of Shares

Risk free rate	5%
Beta	0.50
Expected return from market	12%
Company specific premium	3%
Required return on equity as per CAPM Model	11.50%

Amount (in lakhs)

PARTICULARS	Year 1 FY22	Year 2 FY23	Year 3 FY24	Year 4 FY25	Year 5 FY26	Terminal Year
Net Income (after interest and tax)	-21.36	-3.56	16.41	38.79	61.56	80.95
Depreciation	31.18	26.50	22.53	19.15	16.28	16.28
Working capital investment	1.30	1.66	2.02	2.39	2.51	2.37
Fixed capital investment	0	0	0	0	0	0
Free cash flow to Equity	8.52	21.28	36.92	55.55	75.33	94.86
Terminal Value						1054.04
Discount factor @11.50%	0.95	0.85	0.76	0.68	0.61	0.55
Present value of annual cash flows	**8.06**	**18.05**	**28.08**	**37.89**	**46.09**	**578.37**

Sum of present value of annual cash flows	138.17
Add: Terminal value	578.37
Enterprise value (in Rs. Lakhs)	716.53
Illiquidity discount for closely held company	20%
Enterprise value (in Rs. Lakhs) after illiquidity discount	573.23
Number of equity shares	35,10,000
Fair value per share (Approx)	**16.33**

Vista Knitberry Fashions Limited

Cash Flow Projection & Valuation of Shares

Risk free rate	5%
Beta	0.75
Expected return from market	12%
Required return on equity as per CAPM Model	10.25%

Amount (in cr)

PARTICULARS	Year 1 FY22	Year 2 FY23	Year 3 FY24	Year 4 FY25	Year 5 FY26	Terminal Year
Net Income (after interest and tax)	2.85	5.26	7.53	10.28	13.59	10.69
Depreciation	1.04	0.88	0.75	0.64	0.54	0.54
Interest (1-t)	0.11	0.11	0.11	0.11	0.11	0.11
Working capital investment	1.67	2.01	1.81	2.08	2.39	0.55
Fixed capital investment	2.50	2.00	1.50	1.00	0.50	0.25
Free cash flow to Equity	-0.17	2.25	5.09	7.95	11.35	10.55
Terminal Value						145.46
Discount factor @11.50%	0.95	0.86	0.78	0.71	0.64	0.58
Present value of annual cash flows	**-0.16**	**1.94**	**3.98**	**5.64**	**7.31**	**84.94**

Sum of present value of annual cash flows	18.71
Add:Terminal value	84.94
Enterprise value (in Rs. Lakhs)	103.66
Illiquidity discount for closely held company	15%
Enterprise value (in Rs. Lakhs) after illiquidity discount	88.11
Number of equity shares	1,79,800
Fair value per share (Approx)	**49.00**

7. **Opinion of value of Fair Value of Shares and exchange ratio for Merger**

Based on our valuation exercise, the fair value per share for each company is arrived as below:
Beverly Bakers Limited Rs 24.50
Beverly Food & Beverages Limited Rs 16.33
Vista Knitberry Fashions Limited Rs 49.00

On basis of fair value of shares of each company, implied exchange ratio for shares is as below:

Vista Knitberry Fashion Limited to Beverly Bakers Limited ⇨ 2
Vista Knitberry Fashion Limited to Beverly Food &Beverages Limited ⇨ 3

So, each shareholder of Beverly Bakers Limited shall be entitled to 1 share of Vista Knitberry Fashion Limited for 2 shares of Beverly Bakers Limited held.

And each shareholder of Beverly Food & Beverages Limited shall be entitled to 1 share of Vista Knitberry Fashion Limited for 3 shares of Beverly Food & Beverages Limited held.

(i) It is noted that DCF method uses the cash generation potential of a business and thus can be used for a running business.

(ii) By using the above method, the equity shares of Transferor Company No. 1 and Transferor Company No. 2, which are sick companies incurring losses & having accumulated losses and negative net worth have been valued at Rs. 24.50 per share and Rs. 16.33 per share respectively.

(iii) The above share value has been used to work out the share exchange ratio for the issuance of the share of the Transferee Company to the shareholders of the Transferor Companies.

(iv) It is noted that as per the audited financial statement for the year ended 31.03.2022 of Transferor Company No.1 submitted along with the petition at Annexure A-4, it is not carrying on business as there is no revenue from operation. Further, the Petitioner Companies, in compliance affidavit filed vide Diary No.01562/5 dated 19.09.2024 have submitted that the

Transferor Company No.1 and 2 were engaged in the business of food related products and now the said business has been closed, and Petitioner Nos.1 and 2 have closed their operation before 2020.

(v) Thus, the DCF method used for valuation of shares of the Transferor Company Nos.1 & 2 and working out the exchange ratio based upon the above valuation does not appear to be fair and reasonable.

16. As a sequel to the above discussion and reasons recorded herein before, this Tribunal is of the considered opinion that it is not a fit case to sanction the scheme of amalgamation as the scheme would miserably fail to achieve the objective behind the Scheme of amalgamation as set out in the petition for first motion. Rather the Scheme if approved, would adversely affect and deteriorate the financial health of the transferee company which may lead to insolvency of the Transferee Company, which in turn would be against the objectives behind the scheme as well as objects and reasons of IBC, 2016. The Company Petition bearing number CP(CAA) No. 50/Chd/Pb/2022 is dismissed, therefore the matter stands disposed of.

Sd/-
(**UMESH KUMAR SHUKLA)**
Member (Technical)

Sd/-
(**HARNAM SINGH THAKUR**)
Member (Judicial)

November 06, 2024
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